earnings have been considerably lower than forecast, and the stock in late 1996 is selling at only half its 1993 peak.

Competition's progress is predictable. The first casino company in a market needs only one riverboat and a parking lot. The company may even charge an entry fee. Then a second riverboat shows up nearby, and before long there are several. A smart company now has to add expensive amenities: a second boat, access-road improvements, a big parking garage, a hotel, restaurants, a movie complex, and child care are typical expenditures. Competitive pressures eliminate the entry fee, increase advertising outlays, and force more liberal slot machine payoffs. In sum, operating profit margins go down and the investment in the property goes up, until the profitability of gaming goes from high to average.

But in spite of the power of reversion to the mean, in the short term there *is* a certain amount of follow-through, in earnings growth and stock action. There are people who invest on this premise. They are the momentum investors introduced earlier, though "momentum" is a bad metaphor picked up from the physical sciences. Newton discovered that things that have mass have inertia, so that you have to apply force to change their course, and it takes some time to do it. A financial price doesn't have a mass, so price changes can be very, very rapid. You can see a stock that's been doing well suddenly drop 50 percent in a day because of some negative news item. The "momentum" disappears in a flash.

Some studies have indicated that buying last year's best-performing mutual funds works moderately well in the following year, so there is a case for momentum over a few months. The extension of the good performance is probably the result of the fact that the funds' style is in favor. The funds have portfolios that match the way the market happens to want to go at that particular time. They're in the right industries and sectors, and the other funds are not. The trend that's been favorable to the funds' allocation is likely to last another three or four or five quarters, because market trends do persist for a while, whether you call it momentum